

Aberdeen *Group*

Enterprise Integration Technology

*Aberdeen Group's
Market Trends & Research for 2006*

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Technology Answers
for the Global Value Chain

Today's Agenda

- Enterprise Integration Technology Market: Challenges, Opportunities and Overview
- 2005 Services-Oriented Architecture Findings
- Aberdeen's 2006 Enterprise Integration Research Agenda
 - Q1: Achieving More Value from the Enterprise Applications
 - Q1: Next Steps in SOA: Applications on the Network
- Survey & Report Methodology
- Aberdeen's Integration Technology Research Team
- Next Steps

Aberdeen's Information Technology Practice

Offers real-time guidance and fact-based research insights to:

- CIO's and their direct reports
- Executives to whom the CIO reports to
- Business managers whose units are directly dependent on, or influenced by IT implementations

Typical IT positions targeted

- CIO; VP of IT; Director of IT; VP of Technical Services
- VP of Enterprise Architecture; VP of Software Development; VP of IT Operations
- Chief Technology Officer; VP of Information Technology & Services
- Business Process Owner/Manager; Business Planning Manager; Director of: "Role-specific" (Enterprise Reporting, BI, Outsourcing Management, Warehousing, Supply Chain)

Why Look at Enterprise Integration?

Business Challenges Driving Integration

- Empowering the Extended Enterprise
 - Global: customers, partners, suppliers, employees
- Leveraging existing infrastructure investments
 - Increasing asset utilization and improving service levels
- Understanding customers and business operations
 - Managing business process and IT systems in *real-time*
- Reducing time-to-implement, complexity and failure rates
 - Facilitating business process and service reuse
 - Improving programmer and analyst productivity

Why Look at Enterprise Integration?

Broad Business Value Opportunities

- Flexibly and quickly align IT assets with changing business “on demand” needs
 - Consolidate data center technology with reusable hardware, software, and network building blocks – driving capex and management savings
 - Improve development productivity and quality
 - Deliver business processes and data securely and quickly anywhere, anytime
- Improve knowledge worker productivity
- Achieve better value from real-time business and operational intelligence

Themes and Technologies

- **Enterprise IT Integration Themes**

- Application development productivity
- “Smart Processing” at the edge, in the network, and in de-constructed datacenters optimizing *where* and *how*
- Web Services delivered through a service-oriented architecture (SOA)
- Mobility infrastructure to support employees, partners, and customers
- Real-Time Business Intelligence (RTBI)
- Knowledge Worker Productivity

- **Enterprise Integration Technologies**

- Application development and reuse
- Software Architectures & Middleware (SOA, EAI, ETL, B2BI, EII, XML, CORBA, standards)
- Core architecture, processing and networking
- Edge devices, processing and networking
- Data intelligence and databases, EII
- Data warehousing and business intelligence
- Enterprise business process and technology management
- Managed services & integration services
- Security integration [with Aberdeen security practice]

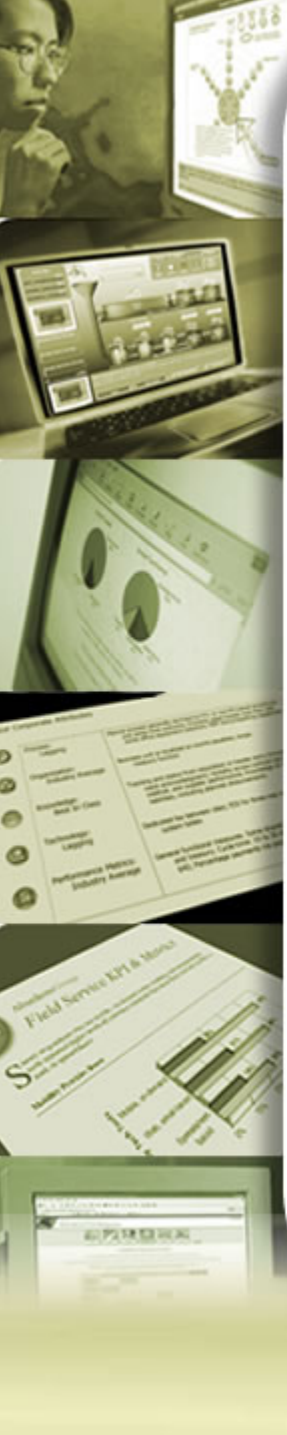
PK3

Could use this as a graphic

Peter Kastner, 2/15/2006

Aberdeen's Research Channels





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2005 SOA Research Findings

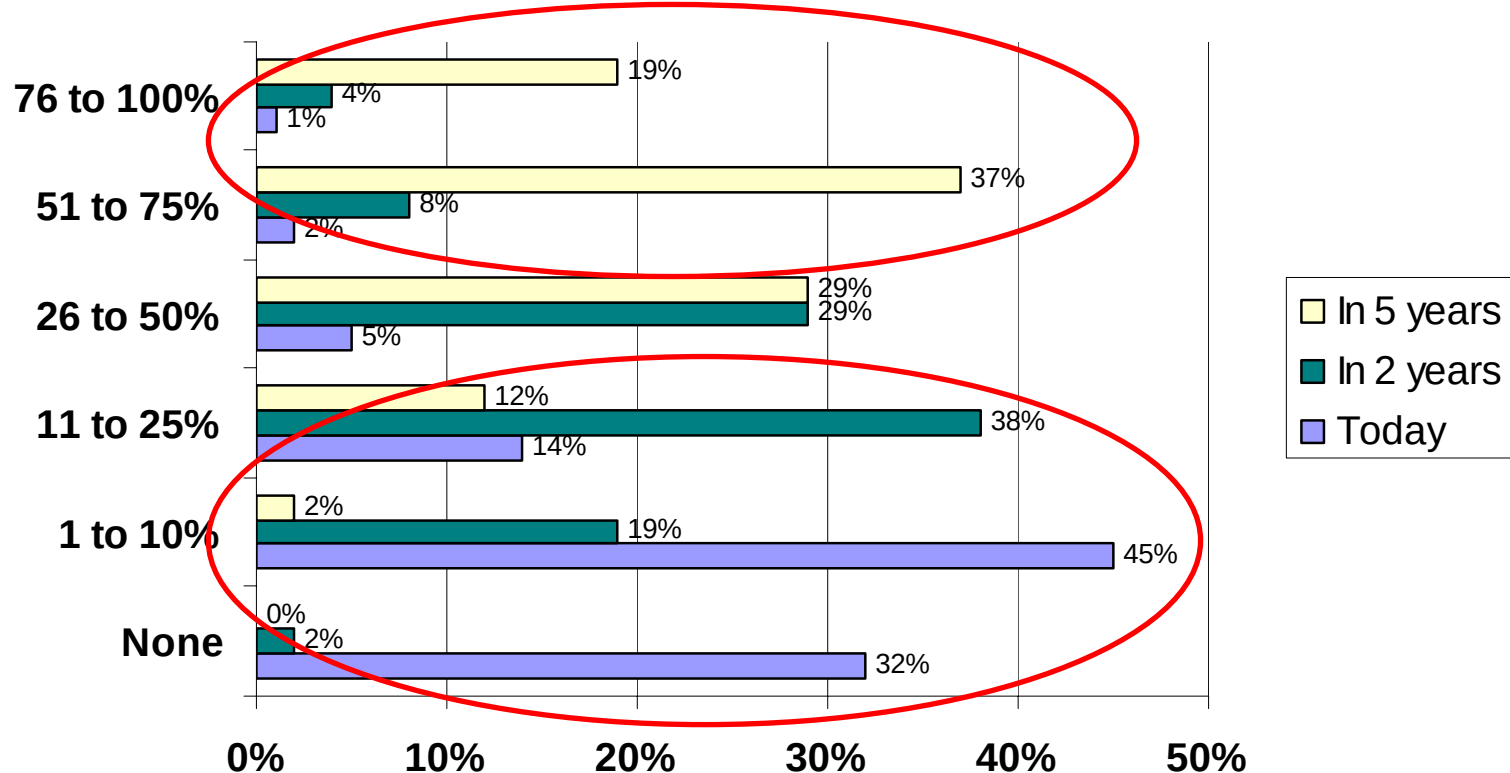
SOA in IT Benchmark Study
SOA in the Supply Chain Study



Technology Answers
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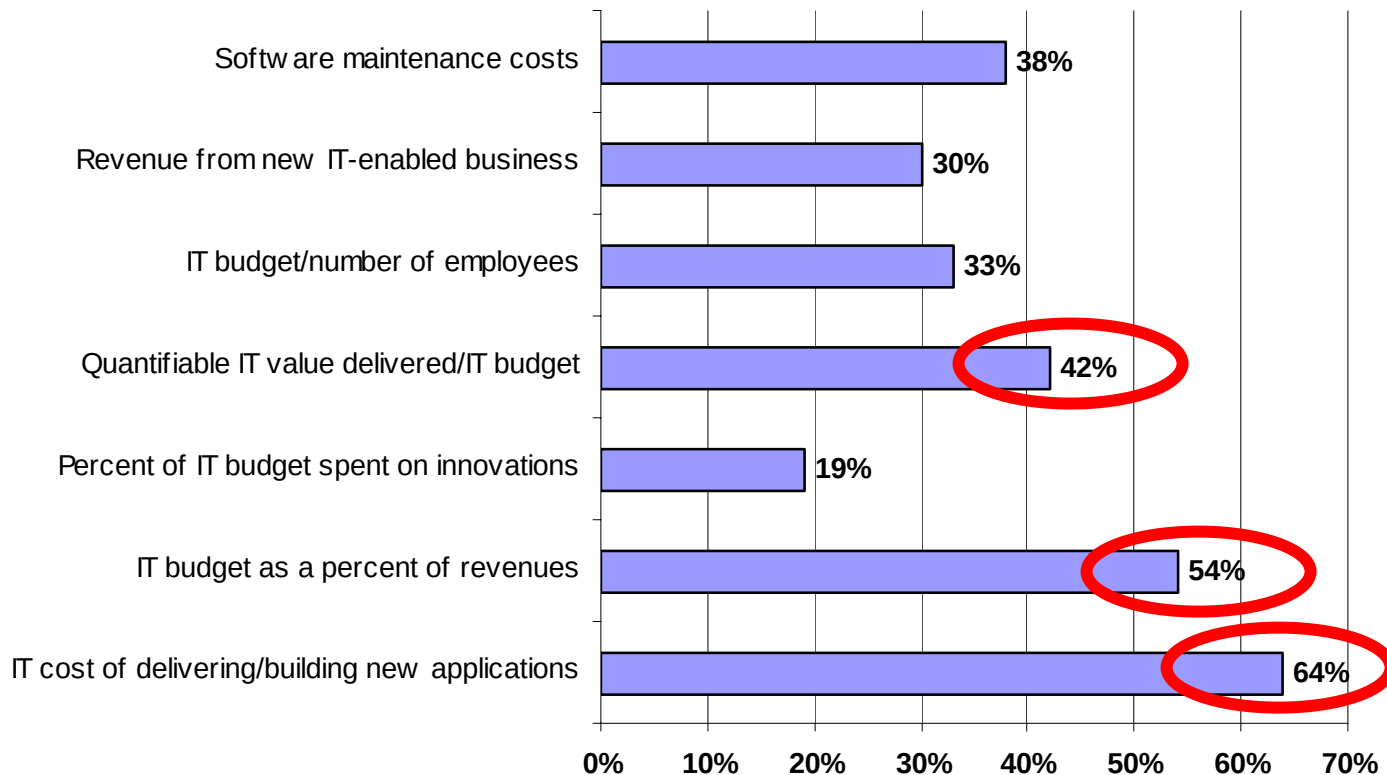
Companies Are Bullish on SOA Adoption... But the Market is Immature

Over half predict that 50% plus of their software will be SOA-based in five years.
But 92% were at and often below 25% adoption rate.



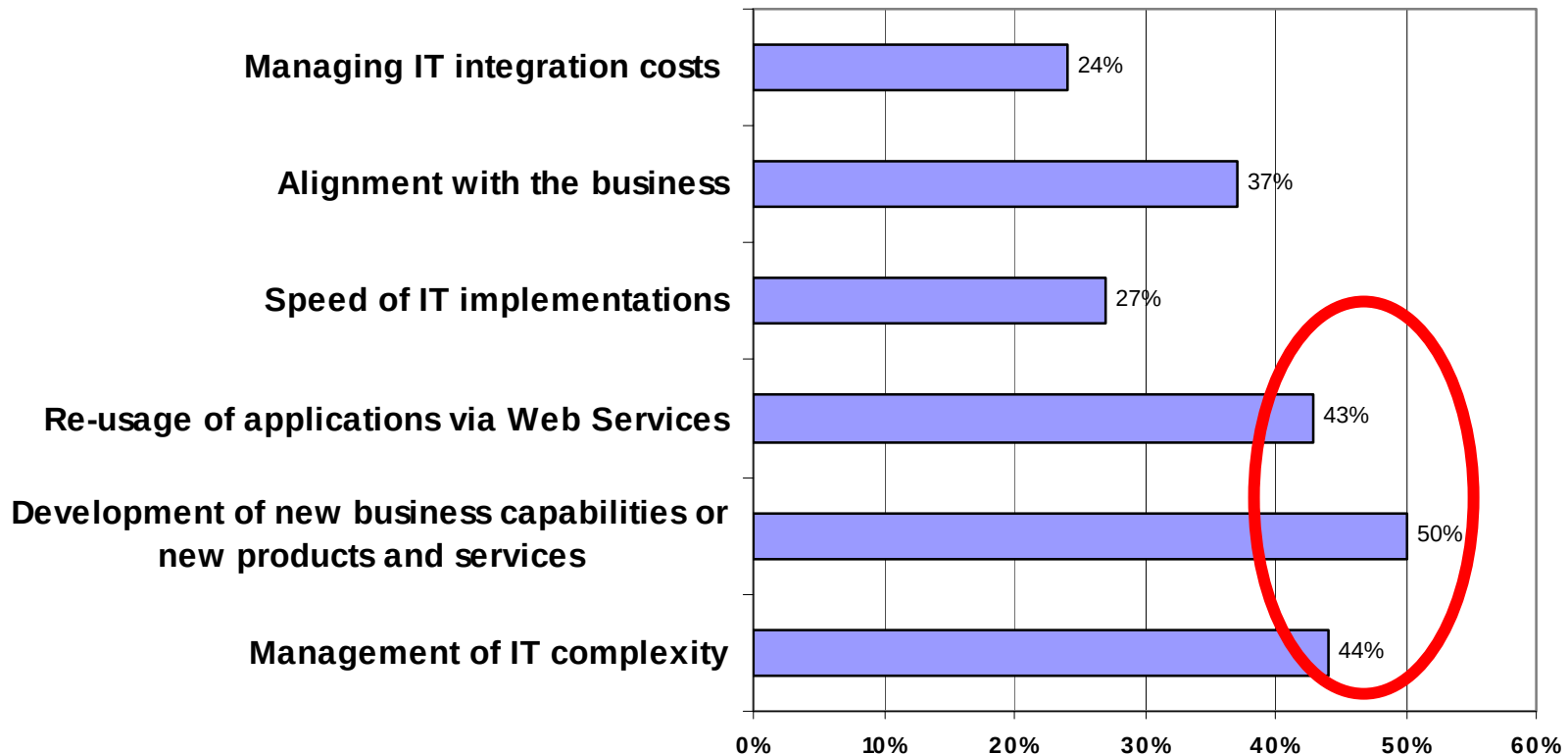
Ongoing Budget Pressures Force IT to be More Productive. *SOA is a Solution.*

Key performance indicators for IT efficiency



Avoiding the Tradeoff of Cost vs. Flexibility Fuels SOA Adoption

Top Three Motives Driving SOA Adoption



SOA Makes IT More Productive

- Best-in-Class companies find that SOA lowers IT maintenance costs and enables more spending on innovation.
- Changes within the IT organization are required to mirror the service-delivery aspects of SOA.
- Running IT like a service requires a full business orientation, but SOA is a great catalyst for achieving it.

KPI	Best in Class	Average
IT innovation % of IT Budget	29.6% +11%	18.5%
Software Maintenance Costs % of IT Budget	12.4% -15%	27.3%

- Speedier deployments
 - Easier integrations
 - Faster customizations and updates

Research Related to Enterprise Integration

- The Service-Oriented Architecture (SOA) in IT Benchmark Report
- The Service-Oriented Architecture in the Supply Chain Benchmark Report
- The Strategic Enterprise IT Budget Realities
- The 2005 CIO Agenda — CIO Disruptors
- The IT Spend Benchmark Report
- SOA Success Starts with IT Success
- The ESB in the Land of SOA
- “Supply Chain as a Service”: The Next Big Thing?
- Creating Composite Business Process Applications for Enterprise Integration
- Sector-Based Research
 - For Mid-Size Enterprises, SOA’s Benefits Begin with IT
 - Process Manufacturers Cautious on SOA Adoption
 - SOA is Made to Order for Mid-Size Manufacturers
 - Complexity Drives Discrete Manufacturers to SOA
 - The Real-Time Enterprise Begins on the Shop Floor (Q1 2006)
- Key Performance Indicators
 - Software Maintenance Costs as a Percent of IT Budget
 - IT Cost of Delivering/Building New Applications as a Percent of IT Budget
 - Percent of IT Budget Spent on Innovations

Aberdeen's Information Technology Research Team

Analyst	Coverage Areas	Experience
Core Team		
 Alex Adamopoulos Sr. Research Analyst	Storage	EMC global services executive.
 Peter Kastner Sr. Research Analyst	Enterprise IT Integration	40 years IT industry experience including IT development and operations; computer marketing; and 18 years leading hundreds of IT market research and consulting projects.
Stacy Quandt Research Director	Security Solutions and Services	An experienced IT analyst, recognized visionary, and thought leader. Her research competency covers security, IT infrastructure, and Linux and open source software.
Extended Team		
Stacey Shipman Benchmarking Director	Manages all primary research programs including survey services and data analysis for Aberdeen's Benchmark Reports.	10+ years various market research functions in Publishing and Direct Selling. She specializes in quantitative survey design and analysis.

Enterprise Integration Research Agenda 2006

Q1 Benchmark: Next Steps in SOA: Applications on the Network

As network traffic shifts from binary data packets to XML-based content routing and Web services request messaging, largely due to the rise of service-oriented architecture (SOA), *the lines between the network and software architecture are blurring.*

This report will benchmark the state of network application processing within the enterprise. Key insights into:

- The types of applications most suited to NAP
- The role of NAP as part of a SOA
- Benefits that early adopters are realizing in the network, applications, security and IT infrastructure
- The infrastructure optimization and configuration flexibility aspects of NAP
- Insights into perceived NAP technology solutions partners

Enterprise Integration Research Agenda: 2006

Next Steps in SOA Series

Q1**Q2****Q3**

Research Topic	Applications on the Network Benchmark	Developing SOA Applications Benchmark	Computing on the Edge Benchmark
Description	This study will benchmark the state of the practice of application processing on the network, examining what applications will benefit, and how users are thinking about technologies to maximize success factors and long-term investments in SOA infrastructure. It probes how users are dealing with capacity, performance, security, response time and other issues.	This study will examine the changing technology landscape as SOA development layers and integrates with legacy applications and development tools. It will identify emerging productivity and quality metrics, solutions sets, and best practice evolution in an SOA-centric development life-cycle.	This report will benchmark the state of the SOA-based edge computing, as smart devices such as RFID and POS are driving volumes and complexity. It will examine plans for edge infrastructure, network, processing and storage issues, the right mix of edge and central (e.g., core) computing, and the roles and tradeoffs of edge infrastructure technologies.
Availability	Three (3) slots left	Five (5) slots left	Five (5) slots

Enterprise Integration Agenda

- **Q1 2006**
 - Next Steps in SOA: Applications on the Network
 - Achieving More Value from Enterprise Applications
- **Q2 2006**
 - Integrating the Data Center: New Architectures and Opportunities
 - Next Steps in SOA: Developing Services-Oriented Applications Benchmark
- **Q3 2006**
 - Integrating Real-Time Technology and Business Management Benchmark Report
 - Next Steps in SOA: Computing on the Edge Benchmark
- **Q4 2006**
 - Re-Tooling the Knowledge Worker Benchmark
 - Enterprise Integration: Strategies and Best Practices for the Mid-Market

Target Sample & Audience

- Attributes of the benchmark survey participants pool:
 - Senior IT executives and LOB technology planners
- Attributes of the report target audience:
 - CIO, CTO, COO, LOB VP/GM, IT steering committee
- How will target audience benefit from the report findings?
 - Benchmark IT competency and readiness
 - Enable benchmarking versus peers
 - Set and measure Key Performance Indicators (metrics)
 - Identify best practices for information technology.
 - Quantify benefits and tradeoffs of IT improvements.
 - Build business case for IT infrastructure and solution deployment.

Methodology

- Research approach:
 - Initial Web-based survey to target titles in Aberdeen Group's research membership pool – 137,000+ members
 - Including previous IT survey responders
 - Extension to solution/service providers to provide private installed base and prospect assessments
 - Qualitative interviews/focus groups
 - Follow up with telephone interviews with survey respondents

Aberdeen's Research Model Delivers Results

- Research results over the past 12 months
 - Completed 100+ Primary Research Studies
 - Developed 500+ Derivative Reports
 - Developed 1,000's of KPI's, benchmarks & metrics
 - 17,100 business and technology executives benchmarked
 - 6,500 Mid-market executives benchmarked
 - 3,750 Asia/Pac executives benchmarked
 - 25,000+ unique web visits per week
- Research Sponsorships over the past 12 months
 - Completed 60 Sponsored Research Reports
 - Engaged 225 Vendors in sponsorship programs
 - Provided over 260,000 downloads to sponsors as prospects
- 900 of the G1000 are in Aberdeen's Research Community
- 465 of the Software 500 are Aberdeen Clients

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